

Lesson 17**SOURCES OF RECRUITMENT**

After studying this chapter, students should be able to understand the following:

- A. Explain Recruitment**
- B. Describe Sources of Recruitment**
- C. Identify alternatives to recruitment**
- D. Understand Recruitment – an applicant's perspective**
- E. Evaluate the Recruitment Process**

LESSON OVERVIEW

Today we will discuss about the first step of staffing function which is Recruitment. We begin this lecture by presenting the recruitment process. This section is followed by internal recruitment methods, external recruitment sources, and external recruitment methods. Finally, recruitment evaluation will be discussed.

A. Recruitment:

Recruiting refers to the process of attracting potential job applicants from the available labor force. Every organization must be able to attract a sufficient number of the job candidates who have the abilities and aptitudes needed to help the organization to achieve its objectives. An effective employee selection procedure is limited by the effectiveness of recruiting process. Outstanding job candidates cannot be selected if they are not included in the applicant pool.

The recruitment process also interacts with other personnel functions, especially performance evaluation compensation training and development and employee relations. Recruiting is typically a human resource function.

In planning recruiting activities, an organization needs to know how many applicants must be recruited. Since some applicants may not be satisfactory and others may not accept the job offers, an organization must recruit more applicants than it expects to hire. **Yield Ratios** help organizations decide how many employees to recruit for each job opening. These ratios express the relationship between the number of people at one step of the recruitment process relative to the number of people who will move to the next step.

Now we will discuss the different sources of recruitment that are available to organization:

B. Source of Recruitment:

Basically organizations are available by the two main sources of recruitment which are:

I. External Recruitment.**II. Internal Recruitment.**

Vacancies in upper level management can be filled either by hiring people from outside the organization or by promoting lower level managers. Both strategies have advantages and disadvantages.

We will consider both internal and external recruitment sources in detail:

I. Internal Recruiting Sources:

When job vacancies exist, the first place that an organization should look for placement is within itself. An organization's present employees generally feel that they deserve opportunities to be promoted to higher-level positions because of their service and commitment to organization. Moreover organizations have opportunities to examine the track records of its present employees and to estimate which of them would be successful. Also recruiting among present employees is less expensive than recruiting from outside the organization. The major forms of the internal recruiting include:

1. Promotion from within.
2. Job posting.
3. Contacts and referrals

a. Promotion from within:

Promoting entry level employees to more responsible positions is one of the best ways to fill job vacancies and important reason why company should have a human resource planning system. An organization that has human resource planning system uses succession plans and replacement charts to identify and prepare individuals for upper

level positions. Skills inventories are useful in identifying individuals who have the potential for advancement, and individual's desire to be promoted can be assessed in the performance appraisal review. A promotion from within policy is intrinsic to career development and human resource planning. A promotion from within policy can stimulate great motivation among employee, and this motivation is often accompanied by a general improvement in the employee morale.

b. Job posting

An organization can also use the policy of job posting as a internal recruitment source. In the job posting system the organization notifies its present employees about job openings through the use of bulletin boards, company publications, or personal letters. The purpose of the job posting is to communicate that the job opening exists. An effective job posting system involves the following guidelines:

Job posting should be prominent.

Clear job specification should be communicated so that applicants assess themselves either they are eligible to apply or not.

Once the decision is made, all applicants should be informed about the decision.

Job posting systems generally work quite well.

c. Contacts and Referrals:

Many firms have found that their employees can assist in the recruitment process. Employees may actively solicit applications from their friends and associates.

Before going outside to recruit employees, many organizations ask present employees to encourage friends or relatives to apply for the job openings. Contacts and referrals from the present employees are valuable sources of recruits. Employee referrals are relatively inexpensive and usually produce quick responses. However some organizations are concerned about problems that result from hiring friends of employees for example, the practice of hiring friends and relatives favoritisms, cliques etc.

- **Advantages of Internal Recruitment:**

1. Provides greater motivation for good performance.
2. Provides greater opportunities for present employees
3. Provides better opportunity to assess abilities
4. Improves morale and organizational loyalty
5. Enables employees to perform the new job with little lost time

- **Disadvantages of Internal Recruitment:**

1. Creates a narrowing thinking and stale ideas
2. Creates pressures to compete
3. Creates homogeneous workforce
4. Chances to miss good outside talent Requires strong management development programs specially to train for technology.

II. External Recruiting Sources:

A broad variety of methods are available for external recruiting. An organization should carefully assess the kinds of positions it wants to fill and select the recruiting methods that are likely to produce the best results.

EXTERNAL SOURCES OF RECRUITMENT

There are some employee needs that a firm must fill through external recruitment. Among them are: filling entry-level jobs, acquiring skills not possessed by current employees, and obtaining employees with different backgrounds to provide new ideas.

a. High Schools and Vocational Schools

Organizations concerned with recruiting clerical and entry-level operative employees often depend on high schools and vocational schools.

b. Community Colleges

A number of community colleges are sensitive to the specific employment needs in their local labor market and

graduate highly sought-after students with marketable skills.

c. Colleges and Universities

Colleges and universities represent a major source of recruitment for many organizations. Potential professional, technical, and management employees are typically found in these institutions. Different institutes use to publish booklets having information about the graduates that can be communicated to organization who are in search of applicants.

d. Competitors and other Firms

Competitors and other firms in the industry or geographic area may be the most important source of recruits for positions in which recent experience is highly desired.

e. Unemployed

Individuals who are unemployed, regardless of the reason, often provide a valuable source of recruitment.

f. Older Individuals

Older workers, including those retired, may also comprise a valuable source of employees.

g. Military Personnel

Using this source may make sense to many employers because these individuals typically have a proven work history, and are flexible, motivated, and drug free.

h. Self-Employed Workers

These individuals may provide a source of applicants to fill any number of jobs requiring technical, professional, administrative, or entrepreneurial expertise.

III. EXTERNAL RECRUITMENT METHODS

Recruitment methods are the specific means through which potential employees are attracted to the firm.

a. Advertising

A way of communicating the employment needs within the firm to the public through media such as radio, newspaper, television, industry publications, and the Internet.

Some times organizations can perform the recruitment function through blind advertisements in blind advertisements no identification about the company is provided to applicants. Companies can use blind advertisements for many reasons e.g.

- Company wants to keep the recruitment in low profile so that lesser number of applicants should apply in order to discourage the irrelevant people.
- Due to bad reputation or image of the organization
- Advertisement is made just for the purpose of test marketing for example just to have knowledge about the supply of applicants in labor market etc.

b. Employment Agencies

An organization that helps firms recruits employees and, at the same time, aids individuals in their attempt to locate jobs. There are two types of the employment agencies i.e.

- Public Employment Agencies.
- Private Employment Agencies

Both of these sources provide coordination between the organizations and applicants who are searching for jobs, for this service they use to charge a fee. Employment agencies are able to tailor their services to the specific needs of the clients. For example some agencies specialize in a particular employment areas, such as engineering, human resource or Computer programming, etc.

c. Recruiters

The most common use of recruiters is with technical and vocational schools, community colleges, colleges, and

universities.

d. Special Events

It is a recruiting method that involves an effort on the part of a single employer or group of employers to attract a large number of applicants for interviews.

e. Internships

A special form of recruiting that involves placing a student in a temporary job. There is no obligation on the part of the company to permanently hire the student and no obligation on the part of the student to accept a permanent position with the firm. Hiring college students to work as student interns is typically viewed as training activity rather than as a recruiting activity. However, organizations that sponsor internship programs have found that such programs represent an excellent means of recruiting outstanding employees.

f. Executive Search Firms

Executive search firms sometimes called **HEAD HUNTERS** are specialized form of private employment agencies that place top level executives and experienced professionals. These are the organizations that seek the most-qualified executive available for a specific position and are generally retained by the company needing a specific type of individual.

g. Professional Associations

Associations in many business professions such as finance, marketing, information technology, and human resources provide recruitment and placement services for their members. Professional associations and trade organizations provide a valuable service in bringing together professional and professional job openings. Most professional organizations have newsletters, annual meetings and trade publications that advertise job openings. The annual meetings of these organizations are good occasion for professionals to learn about available job openings and for employers to interview potential applicants.

h. Unsolicited Walk-In Applicants

If an organization has the reputation of being a good place to work, it may be able to attract good prospective employees without extensive recruitment efforts.

i. Open Houses

Firms pair potential hires and managers in a warm, causal environment that encourages on-the-spot job offers.

j. Event Recruiting

Attend the events that the people you are seeking go to.

k. Virtual Job Fairs

Individuals meet recruiters face-to-face in interviews conducted over special computers that have lenses that transmit head-and-shoulder images of both parties.

l. Cyber Recruiting

Organizations can also use web sites and internet sources to recruit people application submission test and interview and other recruitment and selection activities can be performed online.

- **Advantages of External Recruitment:**

1. Provides new ideas and new insights
2. Provides greater diversity and helps achieve EEO goals by making affirmative action easy
3. Provides opportunities to handle rapid growth if the organization
4. Opportunities to get people with up-to-date knowledge education and training

- **Disadvantages of External Recruitment:**

1. It is more expensive and time consuming
2. Destroys incentives of present employees to strive for promotion
3. More chances to commit hiring mistakes due to difficult applicant assessment that will lead to wastage of resources.

C. ALTERNATIVES TO RECRUITMENT

When an organization decides to add personnel to its staff, it makes a significant financial investment. Recruitment and selection costs are high, especially for professionals, technical and managerial employees. Therefore before an organization decides to recruit new employees, it ought to consider the feasibility of other alternatives.

I. Outsourcing

Out sourcing is the process of transferring responsibility for an area of service and its objectives to an external service provider instead of internal employee.

II. Contingent Workers

It is also known as part-timers, temporaries, and independent contractors, comprise the fastest-growing segment of our economy.

III. Professional Employer Organization (Employee Leasing)

Using this approach, a firm terminates some or most of its employees. A leasing company then hires them, usually at the same salary, and leases them back to the former employer, who becomes the client.

IV. Overtime

Perhaps the most commonly used method of meeting short-term fluctuations in work volume is through the use of overtime.

D. Recruitment - An applicant perspective:

- Applicant should be provided with necessary information regarding organization job, remuneration package etc.
- If rejection is to be communicated it should be done with tactics.

E. Evaluating the Recruitment Process:

Recruitment process can be evaluated by the following factors:

1. Quantity of the Applicants
2. Quality of the Applicants

Quantity of the Applicants

Recruitment process can be evaluated by the number of applicants who have applied for the job greater the number of applications greater will be the chance to select best people from available pool.

Quality of the Applicants

Effectiveness of recruitment can be estimated by the quality of the applicants. Quality can be assessed by the education, skills, capabilities and competencies of the applicants.

Yield Ratios:

The effectiveness of the recruitment process also depends upon the acceptability of the yield ratio.

Key Terms

Advertising: A way of communicating the employment needs within the firm to the public through media such as radio, newspaper, television, industry publications, and the Internet.

Yield Ratios: Yield Ratios help organizations decide how many employees to recruit for each job opening.

Internal Recruiting Sources: When job vacancies exist, the first place that an organization should look for placement is within itself

Outsourcing: Outsourcing is the process of transferring responsibility for an area of service and its objectives to an external service provider instead of internal employee.

Contingent Workers: It is also known as part-timers, temporaries, and independent contractors, comprise the fastest-growing segment of our economy.

Internships: A special form of recruiting that involves placing a student in a temporary job.

Recruitment: Recruiting refers to the process of attracting potential job applicants from the available labor force.